



MEMORANDUM

TPA - No. 2013-0200

THE PHILIPPINE STOCK EXCHANGE, INC.

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| ☒ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☐ Others: |

TO : THE INVESTING PUBLIC AND TRADING PARTICIPANTS

DATE : DECEMBER 13, 2013

SUBJECT : APPROVED AMENDMENT TO THE REVISED TRADING RULES REGARDING ACCOUNT CODES AND DONE THROUGH TRANSACTIONS

Please be informed that the Securities and Exchange Commission (SEC) approved the amendments to the Revised Trading Rules and its Implementing Guidelines governing Account Codes and Done Through Transactions.

Relatively, all existing account codes for done through should be modified to Special Account Institutional via iPSE System of the Exchange under the Client Code Generation module. Modification done before 4:00 p.m. will be activated the following business day and any modification done beyond 4:00 p.m. will be activated after two (2) business days.

Upon activation of the modified account code to Special Account Institutional, all existing non-day orders under the old account code shall be automatically cancelled. TPs may re-enter the affected orders under the Special Account Institutional.

Attached is a copy of the amended sections. Kindly ensure that all necessary modifications have been effected before January 02, 2014.

For your information and guidance.

(Original Signed)
ROEL M. VILLANUEVA
OIC, Market Operations Division

Noted by:

(Original Signed)
ROEL REFRAN
Chief Operating Officer

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REVISED TRADING RULES

ARTICLE I
DEFINITIONS AND CONSTRUCTION

SECTION 1. Definition of Terms

As used in these Revised Trading Rules (the "Rules"), and unless the context otherwise requires:

"Adjusted Closing Price" or "ACP" shall mean the Closing Price of a Security with adjustments due to corporate events.

"Associated Person" based on the Securities Regulation Code (SRC) Section 3.5 and as applied under these Rules, shall mean an employee of a broker or dealer, who directly exercises control of supervisory authority, but does not include a Salesman, or an agent or a person whose functions are solely clerical or ministerial.

"Assigning Trading Participant" shall mean a Trading Participant that assigns an Order to a Settling Trading Participant for clearing and settlement in a Give-up/Take-up Transaction.

"Best Bid and Offer" or "BBO" shall mean the highest buying price and the lowest selling price.

"Best Price" shall mean the best available price for a Security.

"Bid" shall mean the price offered by an interested investor who is willing to buy.

"Block Sale" shall mean a pre-arranged transaction which is executed through the facilities of the Exchange and compliant with the requirements of the Implementing Guidelines of these Rules as approved by the Commission;

"Block Sale Market" shall mean the market where all pre-arranged transactions meeting the requirements set by the Exchange are executed.

"Board Lot" shall mean the standardized number of shares set by the Exchange based on a given price range for a Security.

"Ceiling" or "Ceiling Price" shall mean the upper threshold set by the Exchange for any Order for said Security in a Trading Day.

"Clearing" shall mean the process of determining the accountability and creating obligations for the Exchange of the Security element and the cash element between parties to a transaction.

"Clearing Agency" shall mean an entity duly registered in accordance with the SRC and SRC implementing rules and guidelines and designated by the Exchange to perform Clearing functions.

"Closing Price" shall mean the price determined during the Pre-Close Period.

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"Cross Transaction" shall mean a transaction where the same Broker executes buying and selling Orders of different clients or its proprietary account for different beneficial Owners for the same Security and at the same price and quantity.

"Dealer" based on the SRC Section 3.4 and as applied under these Rules, shall mean any person who buys and sells Securities for his/her proprietary account in the ordinary course of business.

"Designated Specialist" shall mean the appointed licensed Salesman employed by the designated Market Maker to perform Market Making obligations.

"Done-Through Transactions" shall refer to transactions of Clients of a Trading Participant executed by another Trading Participant.

"Dynamic Threshold" shall mean the permitted difference in price between two Last Traded Price updates for a given Security.

"Eligible Security" shall mean listed Securities that are eligible for Short Selling in accordance with the following standards: (1) market capitalization; and (2) tradability, pursuant to the Implementing Guidelines on Short Selling.

"Exchange" or **"PSE"** shall mean The Philippine Stock Exchange, Inc.

"Floor" or **"Floor Price"** shall mean the lower threshold set by the Exchange for any Order for a Security in a Trading Day.

"Force Majeure" shall mean those events which could not be foreseen, or which, though foreseen, were inevitable, and shall include acts of God, war (declared or undeclared), hostilities, rebellion, insurrections, any act of any government, any instrumentality or agency thereof, any act of terrorism, or any act or cause which is reasonably beyond the control of such party.

"Give-up/Take-up Transaction" shall mean an arrangement where a Trading Participant, upon Order entry and on behalf of its client, assigns an Order to another Trading Participant for clearing and settlement purposes.

"Intervention-Before-Opening/Closing" shall mean the latter phase of the Market Pre-Open/Pre-Close period where Order modification or cancellation is not allowed.

"Last Traded Price" or **"LTP"** shall mean the price when the Security was last traded.

"Market Close" shall mean the end of a Trading Day.

"Market Halt" shall mean a temporary stoppage of trading in the entire market on any given Trading Day.

"Market Maker" shall refer to a Trading Participant primarily engaged by the issuer to provide liquidity to a Security, pursuant to an agreement and in accordance with the requirements of the Exchange.

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"Market Open/Continuous Trading" shall mean the period in a Trading Day when matching of Orders at the Best Price takes place.

"Market Pressure" shall apply either to the buy or sell side of a Security's order book, depending on the side that registers the higher volume or quantity, which is considered in determining the Opening or Closing Price.

"MOD" shall mean the PSE's Market Operations Division or its equivalent.

"MRD" shall mean the PSE's Market Regulation Division or its equivalent.

"Nominee" or "Authorized Representative" shall mean the individual duly authorized by a Trading Participant to exercise and carry out, for and on its behalf, all its rights and obligations in the operation of, or in connection with, the ownership of its trading right pursuant to the Exchange By-laws and applicable rules.

"Normal Market" shall mean the market where Orders in Board Lots are traded.

"Odd Lot" shall mean an Order with volume or quantity less than the defined Board Lot.

"Odd Lot Market" shall mean the market where Orders with volumes or quantities less than the defined Board Lot are traded.

"Offer" or "Ask" shall mean the price offered by an owner willing to sell a Security.

"Opening Price" shall mean the price determined during the Pre-Open Period.

"Order" shall mean a buy or sell instruction entered into the Trading System.

"PAM (Poste D'Access Aux Marche)" shall mean the order and trade management tool provided by the Exchange used by the Trading Participants for executing trades and accessing market data.

"Pre-Close Period" shall mean the period prior to the Run-Off/Trading-at-Last when Orders accepted and queued are considered in the determination of the Closing Price. Orders during this period will not be traded until the market transitions to Run-Off/Trading-at-Last.

"Pre-Open Period" shall mean the period prior to the Market Open/Continuous Trading when Orders accepted and queued are considered in the determination of the Opening Price. Orders during this period will not trade until the market opens.

"Price Fluctuation" or "Tick Size" shall mean the allowed price step based on a given price range for a Security.

"Rule" or "Rules" unless otherwise indicated, shall mean the Revised Trading Rules and its Implementing Guidelines.

"Run-Off Period/Trading-at-Last Period" shall mean the period after the Pre-Close when Orders are accepted and executed only at the Closing Price.

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"Salesman/Trader" shall mean a natural person, who is (a) registered with the Commission as a Salesman, (b) authorized by the Exchange to have access to the Trading System, and (c) authorized to execute Orders for and on behalf of a Trading Participant and its clients.

"SEC" or "Commission" shall refer to the Securities and Exchange Commission.

"Security" or "Securities" shall mean shares, and any other investment products, including derivatives, that are listed and traded in the Exchange.

"Settling Trading Participant" shall mean a Trading Participant accepting an Order from an Assigning Trading Participant for clearing and settlement in a Give-up/Take-up Transaction.

"Short Sale", "Short Sell" or "Short Selling" as defined in SRC Rule 24.2-2 and as applied under these Rules, shall mean any sale of a Security which the seller does not own at the time of the sale, or any sale which is consummated by the delivery of a Security, borrowed by, or for the account of, the seller.

"SRC" or "Code" shall mean Republic Act No. 8799, otherwise known as the Securities Regulation Code.

"Static Threshold", which is equivalent to the trading band, shall mean the lower and upper price limits (i.e., ceiling and floor prices) of Securities for a given Trading Day.

"Trading Day" shall mean any day when the Exchange is open for trading as provided in these Rules.

"Trading Floors(s)" shall mean the Exchange premises where trading of Securities is conducted.

"Trading Halt" shall mean a temporary stoppage in the trading of a Security not lasting longer than one (1) Trading Day.

"Trading Participant" shall mean an entity authorized by the Exchange to own and operate a trading right, pursuant to the Exchange By-laws and applicable rules.

"Trading System" shall mean the Exchange's electronic trading platform.

"Trading Threshold" shall mean the allowable price range for any Security as may be determined by the Exchange from time to time.

"Trainee" shall refer to a person under training by a particular Trading Participant for a one-time, non-extendible period of six (6) months.

"Transaction" or "Trade" shall mean a valid, binding and enforceable contract for the purchase or sale of Securities.

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ARTICLE IV

GENERAL TRADING OPERATIONS

SECTION 23. Done-Through Transactions

- a. A Trading Participant (hereinafter referred to as the 'Requesting Trading Participant') may request another Trading Participant (hereinafter referred to as the 'Executing Trading Participant') to execute transactions for the account of the Requesting Trading Participant's Clients.
- b. The Executing Trading Participant shall maintain a designated trading account exclusively for Done-Through Transactions. The trading account code shall indicate that it is for Done-Through Transactions only.
- c. Executing Trading Participant shall not aggregate Done-Through Transactions with the Orders of its other clients.
- d. Amendment of Done-Through Transactions is prohibited by the Exchange.
- e. The Requesting Trading Participant and the Executing Trading Participant shall submit, not later than 12:00 noon of T+1, a written report to the Capital Markets Integrity Corporation (CMIC) or its successor, regarding the details of the Done-Through Transactions. The report shall follow a prescribed format and shall contain, at the minimum, the following information:
 - i. Trade Date;
 - ii. Confirmation Number;
 - iii. Trading Account Code(s) of client(s) for whose account(s) the Done-Through Transaction was executed;
 - iv. Corresponding name(s) of client(s) for whose account(s) the Done-Through Transaction was executed; and
 - v. If the Done-Through Transaction was for multiple clients, the corresponding shares of each client.

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IMPLEMENTING GUIDELINES OF THE REVISED TRADING RULES

XV. ACCOUNT CODES (See Article IV, Section 19 of the Revised Trading Rules)

1. The TP shall designate a unique trading account code that corresponds to an account existing in their back-office.
2. An account code shall be provided for the TP based on the information given to the Exchange.
3. All account codes shall be classified by the TPs as follows:
 - a. Institutional Client – account of i) a bank, insurance company, or registered investment company; ii) any other entity set forth in Section 10.1(1) of the Securities Regulation Code as a qualified buyer; iii) any other entity (whether a natural person, corporation, trust or otherwise) with total assets of at least P1.2B; provided, however, that the broker-dealer shall obtain from such entity a declaration, under oath, confirming ownership of such assets;
 - b. Retail Client – account of an individual not categorized as an institutional client;
 - c. Tax-Exempt Client – corporate account which is exempt from stock transaction tax (STT);
 - d. Aggregate/Bundled Account – account that corresponds to multiple client accounts of a TP;
 - e. Proprietary Account – account of the Trading Participant's firm when trading for its own account;
 - f. Error Account – account of the Trading Participant designated for error transactions. The error account should always correspond to the nationality of the TP;
 - g. Related Party Account – account of: (a) employees, directors and officers of the TP, including relatives up to second degree by affinity or consanguinity, whether legitimate or illegitimate; or (b) corporations which are directly or indirectly controlled by, or under common control with, the TP such as when the TP or the parent owns, directly or indirectly through subsidiaries, more than one half of the voting power of the related corporation. For this purpose, "control" also exists even when the TP or parent owns one half or less of the voting power of another corporation when there is:
 - i. Power over more than one half of the voting rights by virtue of an agreement with other investors;
 - ii. Power to govern the financial and operating policies of the corporation under a statute or an agreement;
 - iii. Power to appoint or remove the majority of the members of the board of directors or equivalent governing body; or
 - iv. Power to cast the majority of votes at meetings of the board of directors or equivalent governing body.
 - h. Market Making Account – account used by the TPs to identify transactions made in the performance of its market making obligations to the listed company.

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- i. Special Account Institutional – account of the Trading Participants designated for done-through transactions.
4. The TP shall further classify the Nationality Flag of each of the accounts as follows:
 - a. Local
 - b. Foreign
5. The TP may submit its naming convention or shortcut to identify the client code using the facilities of the Exchange. The naming convention shall be used by the Trader when posting an Order using the trading terminal provided by the Exchange.
6. Any change in the account type and nationality flag of an existing account code will result to a new account code.
7. Any requests for new account code and change in shortcut of the account code must be submitted by 4pm to be made effective for the next Trading Day.
8. Any requests received beyond the prescribed time will be processed on the next business day and made effective on the succeeding Trading Day.
9. All transactions involving accounts of related parties shall be approved by the TP's compliance officer.
10. The TP must immediately reflect in the Client Account Information Form (CAIF) the corresponding trading account code.
11. The TP must maintain a record of the names of all its clients and their corresponding trading account codes. The TP shall also maintain a separate record of all multiple accounts under their custody, and the names of all clients corresponding to the same.

The record shall be kept current, and shall be maintained in the principal office of the TP. The records shall, when so required by CMIC or its successor, SEC, any judicial, administrative or regulatory body or any person deputized or duly authorized by the Commission in connection with an investigation, examination, inquiry or as part of surveillance procedures or in compliance with other pertinent laws and regulations, be made available to CMIC or its successor, SEC, any judicial, administrative or regulatory body or any person duly deputized or authorized by the Commission within the next trading day, unless the period is specified by the requiring authority.

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XVII. DONE-THROUGH TRANSACTIONS (See Article IV, Section 23 of the Revised Trading Rules)

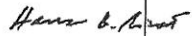
1. An executing TP must designate a trading account code classified as Special Account Institutional and request a corresponding P/E account code, prior to executing done-through transactions.
2. The executing TP must classify the Special Account Institutional as either local or foreign, depending on the nationality of the beneficial owner/s. All done-through transactions must be executed using this account.
3. Upon order instruction, the requesting TP must inform the executing TP the nationality of client(s) for which the done-through transaction will be executed.
4. In cases where the nationality of the clients of the done-through transaction is a combination of foreign and local clients, the Special Account Institutional foreign account code must be used.
5. The written report regarding done-through transactions must be submitted to CMIC or its successor by the requesting TP and the executing TP on or before 12:00 pm of T+1. The report must follow a format prescribed by CMIC and must contain all relevant information regarding the transaction.

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THE PHILIPPINE STOCK EXCHANGE, INC.



HANS B. SIGAT
President and Chief Executive Officer



ROEL A. REFRAN
Chief Operating Officer

SECURITIES AND EXCHANGE COMMISSION



VICENTE GRACIANO P. FILIZMENIO, JR.
Director
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